

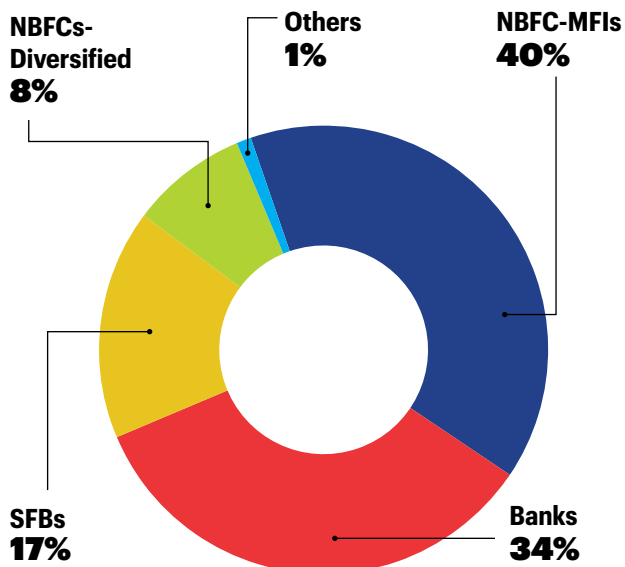


Despite low-cost deposits, MFIs that have transformed into SFBs are not a force to reckon with



Banks are also staying away from directly giving out micro-loans, and lend mostly via MFIs and SHGs

## LENDING UNIVERSE



FIGURES ARE SHARE OF TOTAL LOAN AMOUNT; DATA FOR 2022-23 **SOURCE** MFIN MICROMETER, EQIFAX

## THE COVERAGE SO FAR

| Parameters                             | 2021-22                  | 2025-26E                 |
|----------------------------------------|--------------------------|--------------------------|
| Households covered                     | <b>203.2</b> million     | <b>224.8</b> million     |
| Unique borrowers                       | <b>58</b> million        | <b>72</b> million        |
| Average loan outstanding per household | <b>₹49,249</b>           | <b>₹75,478</b>           |
| Gross demand                           | <b>₹10.01</b> lakh crore | <b>₹16.96</b> lakh crore |
| Demand coverage                        | <b>28%</b>               | <b>32%</b>               |

**E** ESTIMATES, **SOURCE** MFIN

63



**“Creating a dedicated fund to provide equity to BCs will help them grow and achieve scale and efficiency in their operations. An IBCEF (India Business Correspondent Equity Fund) may be created”**

**SEEMA PREM**

CO-FOUNDER AND CEO, FIA GLOBAL

ly encouraging groups of five to six SHG members to form an activity group or joint liability groups (JLGs) to access funds to establish a micro-enterprise. Nabard launched JLGs in the mid-2000s to provide credit to small and marginal farmers and the poor.

Sources suggest that the Ministry of Cooperation is also toying with the idea of helping SHGs transition into co-operatives. “A federation of SHGs should evolve into a co-operative with diverse activities organised into smaller groups. As a unified entity, they can establish businesses and value chain activities, including a supermarket. Additionally, e-commerce platforms and ONDC (Open Network for Digital Commerce) can facilitate the marketing of their products,” says Shaji.

But not everybody is convinced. “The SHG design of the micro-enterprise programme is flawed,” asserts a consultant. “People are unable to establish viable